# Apple Inc.

**AAPL** NASDAQ

| Hold | $338.32 ▼ 1.83% | 12M Price Target | 52-Week Range | Market Cap |
|---|---|---|---|---|
| | | **$360.00** | $243.42 – $351.73 | $4.94T |

## AAPL: China Tariff Jitters Trump Strong Earnings Momentum

### WHAT HAPPENED

- AAPL is down ~1.8% today and off ~2.5% over the past week, even though the broader market (consumer discretionary +2.4%, financials +1.9%) is ripping higher. That divergence matters — when everything else is green and your stock is red, something stock-specific is weighing on it. With no fresh news or filings, this smells like positioning: traders de-risking into November expiration after a huge run to $351 (near 52-week highs).
- The options tape is screaming caution — put/call ratio of 1.63 (people are buying 1.6 puts for every call, which is bearish positioning) and a massive $330 put block worth $12M just hit. Someone with real money is hedging or betting on more downside near-term.

### WHY IT MATTERS

Here's what I think is really going on: AAPL ran from $243 to $351 (that's +44% off the lows), and now it's sitting at 88% of its 52-week range with a $4.94 TRILLION market cap. At these levels, the stock needs continuous good news to keep going up — and the setup for that is getting shakier. The insider selling by the General Counsel/Government Affairs head (Jennifer Newstead, two straight weeks of selling) is the signal I'd pay most attention to — the person whose job is literally to manage Apple's government and regulatory exposure is trimming. That's not a smoking gun, but when the policy chief sells into strength, it tells you she doesn't see any imminent regulatory tailwind worth holding for. Combine that with heavy put buying and this looks like smart money taking chips off the table ahead of something — most likely either a China trade headline or softer holiday iPhone data.

### POLICY & POLITICAL WATCH

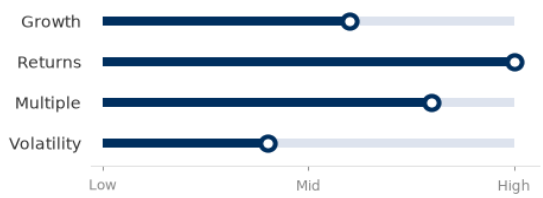
The dominant policy risk for Apple remains US-China trade friction — roughly 90% of iPhones are still assembled in China, so any new tariff round or export control retaliation hits Apple's gross margins directly (every 5% tariff is roughly $0.25-0.40 of EPS risk). Keep an eye on the ongoing Section 301 tariff review and any smartphone-specific carveouts; the Trump administration has oscillated between giving Apple exemptions and threatening to pull them. Separately, the DOJ antitrust case on the App Store and Google search payments ($20B+ a year from Google flows into Apple's Services line) is the slow-moving legal risk — a bad ruling in 2026-2027 could knock 5-8% off earnings overnight.

### IS IT EXPENSIVE?

### Key Data

| | |
|---|---|
| Price (USD) | **$338.32** |
| 12M Price Target | **$360.00** |
| Upside / (Downside) | **+6.4%** |
| Market Cap | **$4.94T** |
| FY2026E Revenue | **$445M** |
| FY2027E Revenue | **$478M** |
| FY2026E EPS | **$7.85** |
| FY2027E EPS | **$8.60** |
| Fwd P/E | **43.1x** |

### INVESTMENT PROFILE




### 12-MONTH PRICE PERFORMANCE VS. S&P; 500





This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

**AAPL** — Apple Inc. | November 02, 2026

## PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|---|---|---|---|
| 1 Month | **$355.00** | $342.00 | **$320.00** |
| 6 Months | **$390.00** | $360.00 | **$300.00** |
| 1 Year | **$425.00** | $365.00 | **$285.00** |
| 2 Years | **$500.00** | $400.00 | **$270.00** |
| 5 Years | **$700.00** | $525.00 | **$300.00** |
| 10 Years | **$1100.00** | $800.00 | **$350.00** |

## WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Consumer Discretionary (+2.4%) and Financials (+1.9%) — classic risk-on rotation, suggesting the market thinks the economy is accelerating and rate cuts are supporting consumer spending. Materials strength (+4.5% over 5 days) hints at infrastructure/reshoring momentum.

**COOLING OFF:** Mega-cap tech is quietly underperforming today — AAPL red while cyclicals rip tells you money is rotating OUT of defensive growth into economically-sensitive names.

**ROTATION WATCH:** This looks like a "sell the winners, buy the laggards" day — investors are taking profits in crowded trades (Apple is #1 holding in nearly every fund) and redeploying into cyclicals. That's a short-term headwind for AAPL but not a thesis-breaker.

**RELATED PLAY:** If you believe in the AI iPhone cycle, the suppliers often outperform the hardware maker — look at Qualcomm (QCOM), Broadcom (AVGO), or TSMC (TSM) for levered exposure to Apple's unit growth without paying 43x earnings.

## WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): AI chip demand and Apple supply relationship — benefits from same upgrade cycle at a cheaper multiple
- MSFT (Microsoft): Enterprise AI monetization is further ahead than Apple's consumer AI play, with cleaner government/cloud exposure

**AAPL CONTEXT:** Apple is LAGGING the tape today and the broader tech trade over the past month — that's unusual for a market leader and tells me the easy money has been made at these levels. When the #1 holding in the market stops leading, you want to pay attention. It doesn't mean sell, but it means don't chase.

## WHAT I'D DO WITH THIS STOCK

**6/10** Conviction Score

**Position Size:** 3-5% of portfolio (core holding size)

**Entry Points:** $315-325 on tariff-driven pullbacks

**Time Horizon:** 12-24 months, waiting on AI iPhone cycle to prove out

**Thesis Invalidation:** China retaliatory tariffs on US tech or iPhone unit sales decline >8% YoY

**Hedging:** Buy protective puts or pair with a domestic-revenue tech name like MSFT


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